

gasoline remains high, auto companies increase research and development into electric-powered vehicles and alternative fuels such as hydrogen and natural gas. It may take several years for users and producers to figure out how to get around high energy prices, but eventually supply catches up with demand, and the price of energy drops.

If corn prices rise because of greater demand from ethanol manufactures, farmers will grow more corn next season and keep growing more corn until the supply exceeds demand and prices fall. Substitutes to corn cattle feed will increase, and a substitute to corn-based ethanol will be found. If a building boom causes a shortage of steel, prices will rise, producers will mine more ore, mini-mills will recycle more scrap, and new producers will come on line all over the world; and then the building boom will end and steel prices will plummet. Whenever a commodity is priced high enough to make a large enough profit, more of the commodity is created or harvested by current suppliers and new competitors bring more supply.

The supply-and-demand cycle is true even for precious metals such as gold. Although it is not always possible to locate more ore and dig it out, new techniques for extracting gold from the current production can increase supply. In addition, if prices are high enough, increased selling by governments and large institutions can dump a large supply on the market and quickly bring prices down. Finally, when the supply of gold is greater than the demand, the price falls back to its true economic value. This is likely the scenario occurring in 2010 as I write this book.

It may take several years for the new supply to meet demand. Start-up costs are high, and the discovery of new resources take time. Spikes in prices tend to not be good for long-term commodity producers because, more often than not, spikes in prices eventually lead to oversupply, which leads to rapid price declines and potential operating losses. Such is the boom-and-bust nature of the business.

[Figure 10-1](#) illustrates the price of gold and oil adjusted for the rate of inflation since 1955. Both items are started at \$1. There have been a few spikes in gold and oil prices over the years, but those spikes tend to fall back to the rate of inflation over time. Oil seems to fall back first, followed by the price of gold.

Oil prices are always in flux because of constant changes in global supply-and-demand estimates. The price we pay for gasoline reflects these